

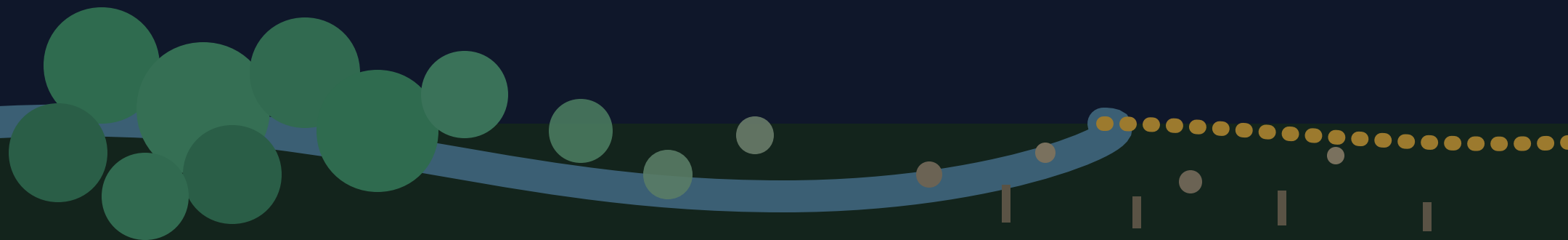


ECONOMICS IN 60 SECONDS

Issue #004

The Tragedy of the Commons

What belongs to everyone is often protected by no one. How ordinary, rational choices can quietly destroy a shared resource.



TIMELESS IDEAS. EVERYDAY IMPACT.

A SHARED VILLAGE PASTURE

One more sheep can only help. Surely.

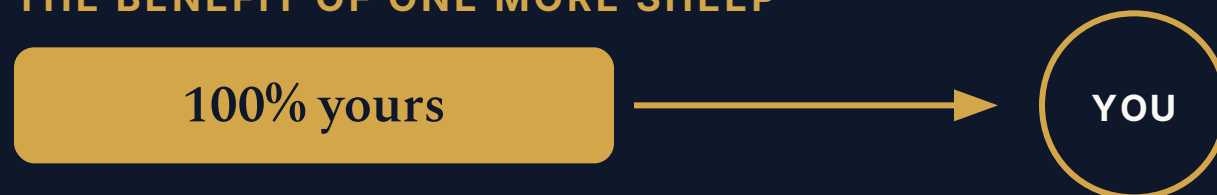
Every farmer grazes the common field. Adding one more sheep earns a little more for that farmer, so each adds one. Then another. Every choice is reasonable. The field is not infinite.



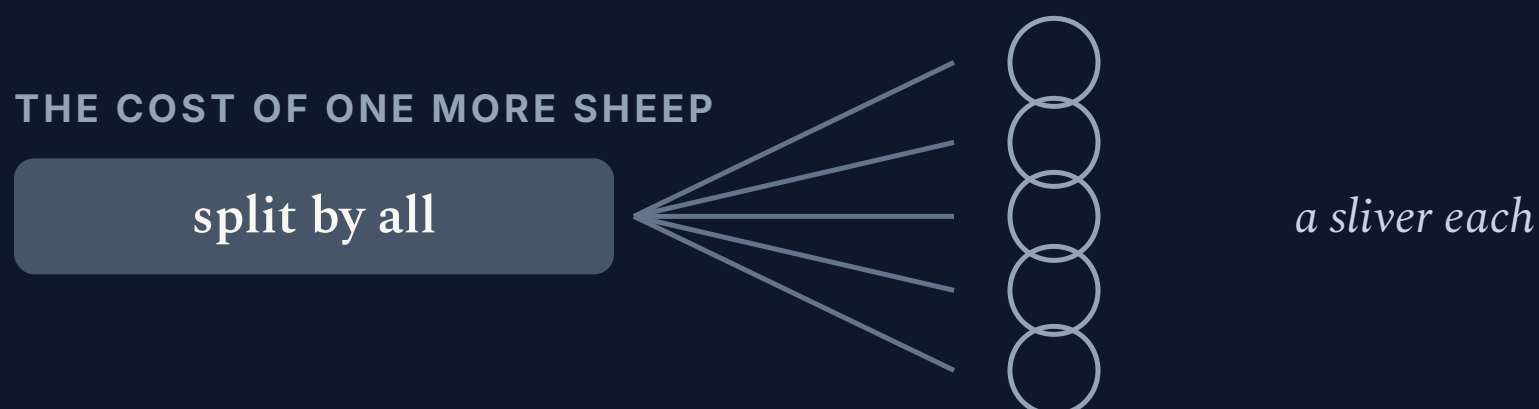
PRIVATE GAIN, SHARED COST

You keep the gain.
Everyone shares the cost.

THE BENEFIT OF ONE MORE SHEEP



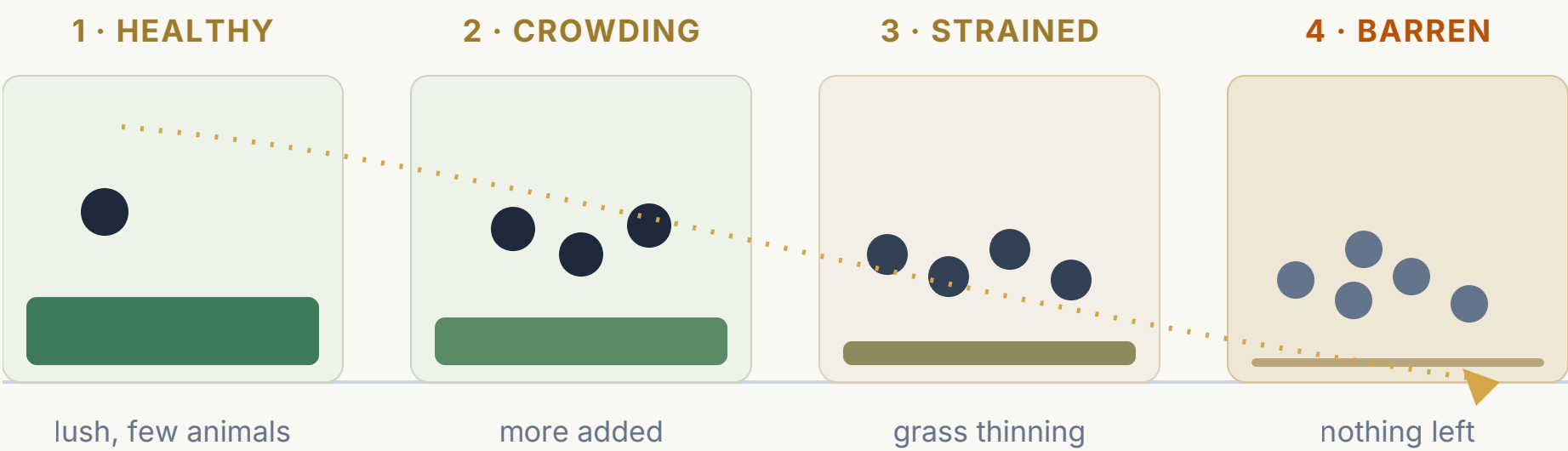
THE COST OF ONE MORE SHEEP



So the rational move is always: **add one more.**

THE SLIDE INTO COLLAPSE

Step by step,
the field gives way



More users, more extraction, less to share, until there is none.



THE SHARED FIELD



LEFT TO ALL OF US



Each acted for themselves.
Everyone ended up poorer.



No villain ruined the commons. The sum of sensible, private choices did.

ONE PATTERN, MANY FACES

The pasture is all around you



Overfishing

Each boat takes more; the stock crashes for all.



Groundwater

Everyone pumps; the aquifer quietly runs dry.



Traffic

Each car is rational; the road jams for all.



The atmosphere

Each emitter gains; the climate pays for everyone.

IT IS STRUCTURE, NOT VIRTUE

One restrained farmer changes nothing

If you alone hold back while the field stays open to all, you lose your share and the commons still collapses. Virtue without a changed structure is simply a personal cost.



*Incentives, not character,
decide the outcome.*

FOUR WAYS OUT

Change the rules, not the people



Property rights

Give it an owner who bears the cost of ruin.



Regulation

Set limits, quotas, and prices on use.



Community rules

Users govern the resource together, by agreement.



Social norms

Shared expectations make overuse shameful.

Garrett Hardin named the problem in 1968. Elinor Ostrom won a Nobel for showing communities can solve it.



Which shared resource today do you think is closest to its own tragedy of the commons?

Share it below. The sharpest answer shapes a future issue.



ECONOMICS IN 60 SECONDS · #004

The Tragedy of the Commons

ONE IDEA. BETTER DECISIONS.

Next issue, #005 · Opportunity Cost

By Arjun Agrawal · Associate DP Coordinator · Visiting Faculty, Fergusson College

